



HiddenGem Media

HOW TO SPEAK OUR ICP'S LANGUAGE

Industry Acumen – Hotel & Resort Terminology

Session 1 of 2: sixteen terms in about 60 minutes



from rate to profit · setting the price · when guests book · three rounds of practice

Why we're here



HGM is moving upmarket



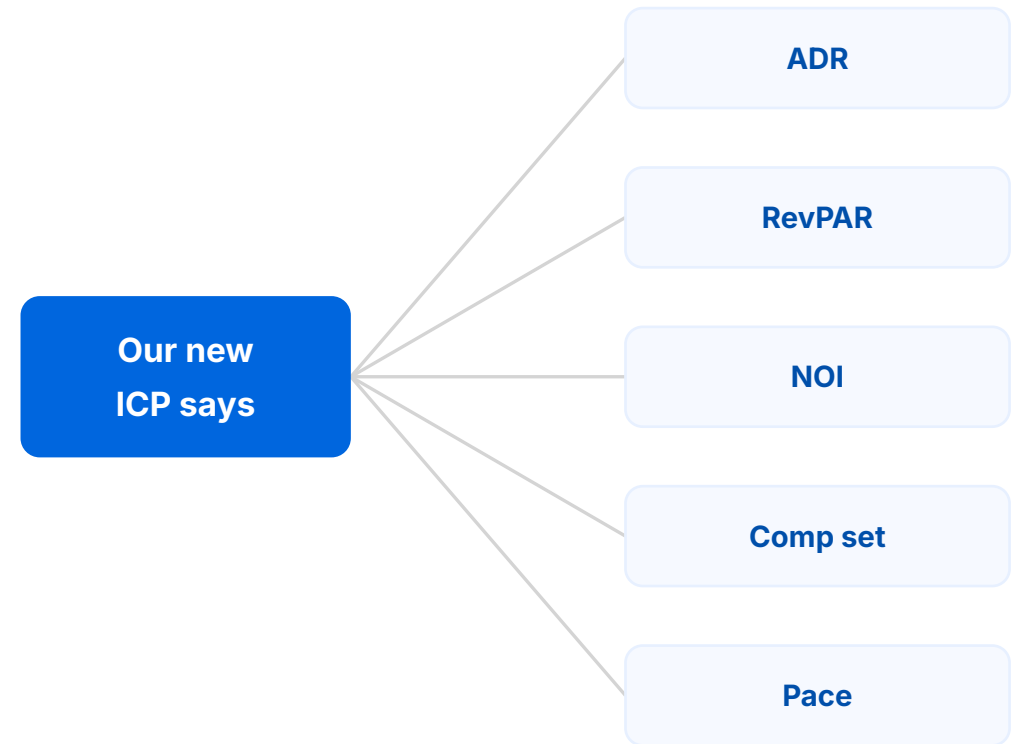
That owner speaks a different language



Our own funnel already uses these words



So we are learning it ahead of the calls



What today gives you



Confidence, not fluency

Recognise the term, know what it is about, ask the next question. Nobody becomes a revenue manager today. The dictionary carries the rest.



You already know more than you think

Seven of today's sixteen terms come straight from HiddenGem Brain: denial, regret, orphan night, lead time, pace, booking curve and effective OTB.



An open mind

These are new words for most of us, including the two presenting. Nobody is behind, and every question today is a good one.

Today in three blocks



Block 1: from rate to profit

- 01 ADR
- 02 RevPAR
- 03 Ancillary revenue
- 04 GOP
- 05 NOI
- 06 Flow-through



Block 2: setting the price

- 01 Comp set
- 02 Revenue management
- 03 Denial
- 04 Regret
- 05 Orphan night
- 06 Rate parity



Block 3: when guests book

- 01 Lead time
- 02 Booking curve
- 03 Pace
- 04 Effective OTB
- 05 Transient vs group

Block 1: from rate to profit

Six terms that take a room rate down to the profit a buyer prices. One client throughout: Lakeside Lodge, 50 rooms, September.

01



ADR

Average daily rate: what a sold room actually went for.

02



RevPAR

Revenue per available room: rate and fill in one number.

03



Ancillary revenue

Everything a guest spends beyond the room.

04



GOP

Gross operating profit: what running the place leaves.

05



NOI

Net operating income: what a buyer prices the property on.

06

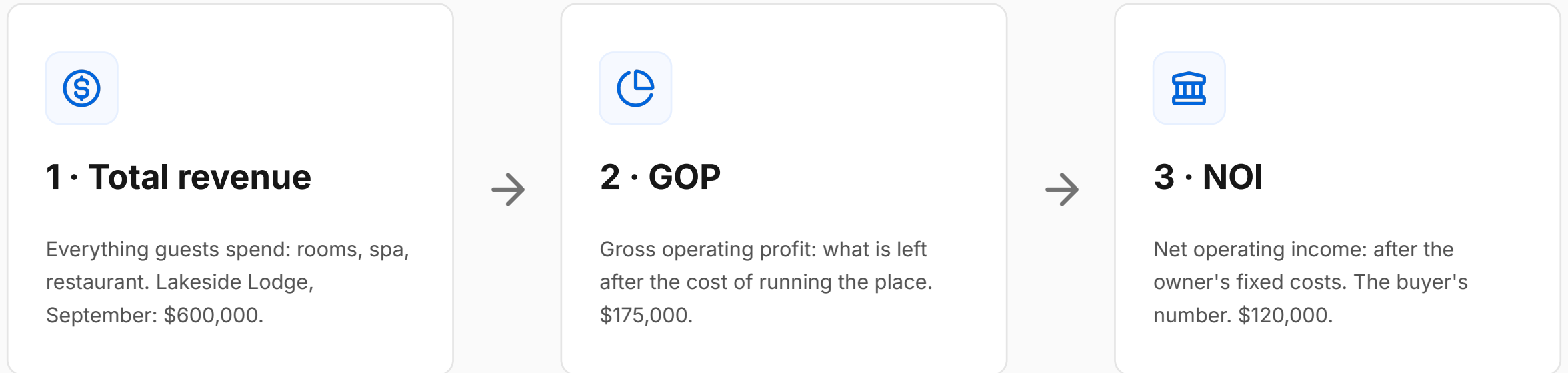


Flow-through

How much of each extra dollar of revenue reaches profit.

The profit ladder: three numbers, top to bottom

The order revenue falls through on a hotel P&L, from total revenue down to NOI, and where each cost is deducted.



When an owner says “profit”, it is one of these three. Block 1 walks down the ladder with Lakeside Lodge's September, and asks which rung a number sits on before reacting to it.

When you hear a number: five questions

A habit, not a checklist to memorise. Before you react to a number an owner quotes, find out which number it is.

1



Rooms, or total?

"Revenue is up" can mean room revenue or everything. Lakeside Lodge's rooms are \$360,000; its month is \$600,000.

2



Sold, or available?

Room revenue ÷ rooms sold is ADR. Room revenue ÷ rooms available is RevPAR. Same month, \$300 or \$240.

3



Which rung?

Revenue, GOP or NOI. Lakeside Lodge's September is \$600,000, \$175,000 or \$120,000 depending on which the owner means.

4



The level, or the change?

A margin on the month is one thing; how much of the extra revenue reached profit is another. That is flow-through.

5



What did they leave out?

"Basically full." "Best summer yet." "Rates are sort of everyone's job." The qualifier is usually the question worth asking.

ADR average daily rate



Dictionary

Room revenue divided by rooms sold — the average price a sold room actually went for.



Why the owner cares

It is the number they quote without being asked. Rate is the thing an owner feels most, and the first thing a bank or a buyer asks about.



Contextual usage

Your ADR held up nicely this month — the question is whether the discounting on quiet nights is pulling it down.



Room revenue ÷ Rooms sold

Lakeside Lodge sold **1,200** room nights in September, for **\$360,000** of room revenue. What did a sold room go for, on average?

$$\text{ADR} = \$360,000 \div 1,200$$



Therefore, ADR = \$300

SEPTEMBER AT LAKESIDE LODGE: THE NIGHTLY RATE

S	M	T	W	T	F	S
		1 \$250	2 \$250	3 \$250	4 \$370	5 \$370
6 \$370	7 \$370	8 \$250	9 \$250	10 \$250	11 \$370	12 \$370
13 \$250	14 \$250	15 \$250	16 \$250	17 \$250	18 \$370	19 \$370
20 \$250	21 \$250	22 \$250	23 \$250	24 \$250	25 \$370	26 \$370
27 \$250	28 \$250	29 \$250	30 \$250			



Peak night: all 50 rooms at \$370



Other nights: 35 rooms on average, at \$250

RevPAR revenue per available room



Dictionary

Rate and fill in one number; what owners reach for when asked how the year is going.



Why the owner cares

It moves if either price or fill moves, so it is the honest one-number read on the rooms business. It ignores the spa and the restaurant entirely.



Contextual usage

RevPAR tells us rate and fill together, so we're not fooled by a full house sold too cheap.



Room revenue ÷ Rooms available (= ADR × Occupancy)

Lakeside Lodge has **50** rooms and September has **30** nights, so **1,500** room nights were available. Room revenue was **\$360,000**.

$$\text{RevPAR} = \$360,000 \div 1,500$$



Therefore, RevPAR = \$240 (= \$300 ADR × 80% occupancy)

SAME SEPTEMBER: ROOMS SOLD, OF 50 AVAILABLE EACH NIGHT

S	M	T	W	T	F	S
		1 31 of 50	2 33 of 50	3 38 of 50	4 50 of 50	5 50 of 50
6 50 of 50	7 50 of 50	8 29 of 50	9 36 of 50	10 40 of 50	11 50 of 50	12 50 of 50
13 34 of 50	14 28 of 50	15 37 of 50	16 41 of 50	17 33 of 50	18 50 of 50	19 50 of 50
20 30 of 50	21 39 of 50	22 35 of 50	23 36 of 50	24 32 of 50	25 50 of 50	26 50 of 50
27 38 of 50	28 34 of 50	29 42 of 50	30 34 of 50			



Peak night: full



Other nights: 35 sold on average

Ancillary revenue everything beyond the room



Dictionary

Everything a guest spends beyond the room — food and beverage, spa, activities, add-ons — and the lever marketing can move without touching rate.



Why the owner cares

RevPAR does not count a dollar of it, and it is the revenue we can grow without asking the owner to raise a rate. Owners say “ancillary spend” too.



Contextual usage

Rooms are only part of the story here — how much of your ancillary revenue comes from the spa and dinner?



Spa + Restaurant and bar + activities + add-ons

Lakeside Lodge's September: rooms **\$360,000**, spa **\$90,000**, restaurant and bar **\$150,000**. Total **\$600,000**. How much came from beyond the room?

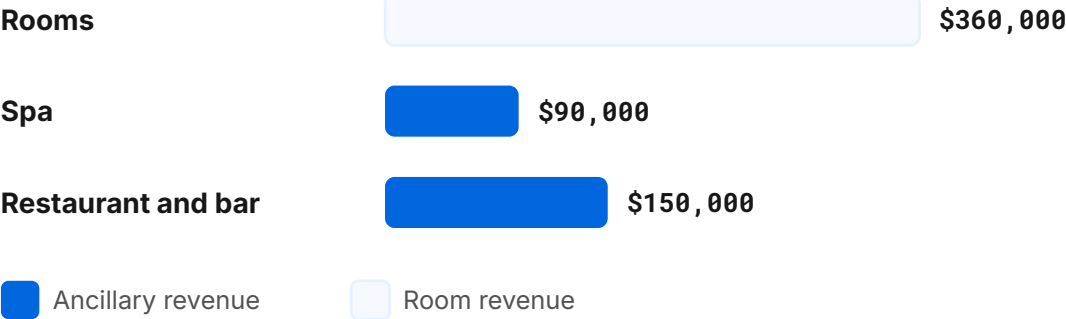
Ancillary = \$90,000 + \$150,000

Share = \$240,000 ÷ \$600,000 = 40%



Therefore, ancillary revenue = \$240,000 (40%)

WHERE SEPTEMBER'S \$600,000 CAME FROM



GOP gross operating profit



Dictionary

What is left after departmental and undistributed costs — the operator’s profit line.



Why it is here

GOP is the middle rung of the ladder: the operator's profit, before the owner's fixed costs. It is a reference term, here because NOI and flow-through don't make sense without it.



Contextual usage

GOP is your operating profit before the owner's fixed costs — it's where good management shows up.



$$\text{GOP} = \text{Revenue} - \text{departmental} - \text{undistributed costs}$$

Lakeside Lodge took **\$600,000** in September. Running the departments that earn money (rooms, spa, restaurant) cost **\$255,000**. Running the whole property (admin, marketing, maintenance, utilities) cost **\$170,000**.

$$\text{GOP} = \$600,000 - \$255,000 - \$170,000$$



Therefore, GOP = \$175,000

THE MIDDLE RUNG

Total revenue		\$600,000
Departmental costs		- \$255,000
Undistributed costs		- \$170,000
GOP		\$175,000

NOI net operating income



Dictionary

GOP less management fees and fixed charges; what owners and buyers price the property on. USALI now labels this line EBITDA.



Why the owner cares

This is the number a sale is priced on. At this ICP the dream is a business worth a big multiple on the back of high NOI. An owner who runs the place themselves may have no management fee on that line at all.



Contextual usage

When you think about selling or expanding one day, NOI is the number the buyer will look at first.



NOI = GOP - management fees - fixed charges

GOP was **\$175,000**. The management company's fee was **\$25,000**, and property tax and insurance came to **\$30,000**. A buyer has asked for the NOI.

$$\text{NOI} = \$175,000 - \$25,000 - \$30,000$$



Therefore, NOI = \$120,000

THE BOTTOM RUNG: WHAT A BUYER PRICES

GOP		\$175,000
Management fee	- \$25,000	
Property tax and insurance	- \$30,000	
NOI		\$120,000

Flow-through

how much of extra revenue reaches profit



Dictionary

How much of each extra dollar of revenue actually reaches profit rather than being eaten by cost.



Why the owner cares

Growth that costs as much as it brings in does not make the owner richer. This is the “level or change” question from the checklist: only the extra counts.



Contextual usage

More revenue is only good news if it flows through — what's the flow-through on the extra bookings from the promotion?



Change in GOP ÷ Change in revenue

Revenue grew from **\$500,000** last September to **\$600,000** this September. GOP grew from **\$150,000** to **\$175,000**. How much of the extra revenue reached profit?

$$\text{Change in revenue} = \$600,000 - \$500,000 = \$100,000$$

$$\text{Change in GOP} = \$175,000 - \$150,000 = \$25,000$$

$$\text{Flow-through} = \$25,000 \div \$100,000$$



Therefore, flow-through = 25%

WHAT HAPPENED TO THE EXTRA \$100,000

Extra revenue		\$100,000
Reached GOP		\$25,000
Eaten by cost		\$75,000

Run the numbers



One client, one month: Lakeside Lodge, 50 rooms, September.



Calculators out. Hold up one to four fingers.



Three, two, one, vote. Everyone commits at once.

The owners, their properties and every number here are made up.

What was our ADR (average daily rate)?

September: what did a room actually go for?



Marisol <marisol@lakeside-lodge.example>
to: you

Quick one before our call. September at Lakeside Lodge:

Rooms	50
Nights in September	30
Room nights sold	1,200
Room revenue	\$360,000
Total revenue, with the spa and restaurant	\$600,000
What was our ADR?	



EMAIL 1 OF 5

Cast your vote

- 1

\$240
- 2

\$300
- 3

\$500
- 4

\$7,200

Vote first. Then the answer.

What was our ADR (average daily rate)?

September: what did a room actually go for?

 **Marisol** <marisol@lakeside-lodge.example>
to: you

Quick one before our call. September at Lakeside Lodge:

Rooms	50
Nights in September	30
Room nights sold	1,200
Room revenue	\$360,000
Total revenue, with the spa and restaurant	\$600,000

What was our ADR?

WHY

Room revenue ÷ rooms **sold**: $\$360,000 \div 1,200 = \300 . \$240 used rooms available (RevPAR); \$500 used total revenue; \$7,200 is per room.



THE ANSWER

The answer

1 \$240

☒ \$300

3 \$500

4 \$7,200

What's our RevPAR?

And the one I quote



Marisol <marisol@lakeside-lodge.example>
to: you

Same month:

Room nights available	1,500
Room nights sold	1,200
Room revenue	\$360,000
Total revenue	\$600,000

What's our RevPAR? It's the one I give people when they ask how the year's going.



EMAIL 2 OF 5

Cast your vote

- 1

\$240
- 2

\$300
- 3

\$400
- 4

80%

Vote first. Then the answer.

What's our RevPAR?

And the one I quote

 **Marisol** <marisol@lakeside-lodge.example>
to: you

Same month:

Room nights available	1,500
Room nights sold	1,200
Room revenue	\$360,000
Total revenue	\$600,000

What's our RevPAR? It's the one I give people when they ask how the year's going.

WHY

Room revenue ÷ rooms **available**, sold or not: $\$360,000 \div 1,500 = \textbf{\$240}$ (check: $\$300 \times 80\%$). \$300 is ADR; \$400 used total revenue; 80% is occupancy.



THE ANSWER

The answer



\$240

2

\$300

3

\$400

4

80%

How much was ancillary revenue?

Honestly, it wasn't the rooms

 **Marisol** <marisol@lakeside-lodge.example>
to: you

Rooms were fine. The spa and restaurant made our month.

Room revenue	\$360,000
Spa	\$90,000
Restaurant and bar	\$150,000
Total revenue	\$600,000

How much of September was ancillary?



EMAIL 3 OF 5

Cast your vote

1 \$90,000

2 \$240,000

3 \$360,000

4 \$600,000

Vote first. Then the answer.

How much was ancillary revenue?

Honestly, it wasn't the rooms



Marisol <marisol@lakeside-lodge.example>
to: you

Rooms were fine. The spa and restaurant made our month.

Room revenue	\$360,000
Spa	\$90,000
Restaurant and bar	\$150,000
Total revenue	\$600,000

How much of September was ancillary?

WHY

Everything **beyond the room**: $\$90,000 + \$150,000 = \text{\$240,000}$, 40% of the month. \$90,000 is the spa alone; \$360,000 the rooms; \$600,000 everything.



THE ANSWER

The answer

1 \$90,000

☒ \$240,000

3 \$360,000

4 \$600,000

What's our flow-through?

We grew. Did it stick?

 **Marisol** <marisol@lakeside-lodge.example>
to: you

Total revenue	\$600,000
Total revenue, last September	\$500,000
GOP	\$175,000
GOP, last September	\$150,000
We grew revenue by \$100,000. How much of that actually reached profit? What's our flow-through?	



EMAIL 4 OF 5

Cast your vote

- 1

25%
- 2

29%
- 3

75%
- 4

400%

Vote first. Then the answer.

What's our flow-through?

We grew. Did it stick?

 **Marisol** <marisol@lakeside-lodge.example>
to: you

Total revenue	\$600,000
Total revenue, last September	\$500,000
GOP	\$175,000
GOP, last September	\$150,000

We grew revenue by \$100,000. How much of that actually reached profit? What's our flow-through?

WHY

Only the **change** counts: \$25,000 more GOP on \$100,000 more revenue = **25%**. 29% is the month's margin; 75% is what did not reach profit; 400% is upside down.



THE ANSWER

The answer

 **25%**

 29%

 75%

 400%

What NOI do I tell the buyer?

A buyer asked

 **Marisol** <marisol@lakeside-lodge.example>
to: you

Someone interested in buying the lodge asked for our NOI. For September:

GOP	\$175,000
Management company fee	\$25,000
Property tax and insurance	\$30,000
What do I tell them?	



EMAIL 5 OF 5

Cast your vote

- 1

\$120,000
- 2

\$145,000
- 3

\$150,000
- 4

\$230,000

Vote first. Then the answer.

What NOI do I tell the buyer?

A buyer asked

 **Marisol** <marisol@lakeside-lodge.example>
to: you

Someone interested in buying the lodge asked for our NOI. For September:

GOP	\$175,000
Management company fee	\$25,000
Property tax and insurance	\$30,000
What do I tell them?	

WHY

GOP less management fees and fixed charges, so **both** come off: $\$175,000 - \$25,000 - \$30,000 =$ **\$120,000**. \$145,000 left the fee in; \$150,000 left tax in; \$230,000 added instead. This buyer comes back in session 2.



THE ANSWER

The answer



\$120,000

2

\$145,000

3

\$150,000

4

\$230,000

Block 2: setting the price

Six terms about who sets the rate, and what an owner leaves out when they tell you about it.

01



Comp set

The properties an owner measures against.

02



Revenue management

The function: who decides when a rate moves.

03



Denial

Demand that tried to book and couldn't.

04



Regret

Demand that looked and wouldn't.

05



Orphan night

A single night stranded between two bookings.

06



Rate parity

The OTA contract's rule about your own price.

Comp set competitive set



Dictionary

The set of properties an owner benchmarks against, and the basis of every index on an STR report.



Why the owner cares

It is who they think they compete with, and every index on their benchmark report is measured against it. HiddenGem Brain treats market data as a guardrail, never a driver, so we ask about the comp set to understand the owner, not to price from it.



Contextual usage

Who's in your comp set? I'd like to see who you're measuring yourself against before we talk about rate.

WHO LAKESIDE LODGE MEASURES ITSELF AGAINST



The lodge across the lake

Same guests, same weekends, same price band.



The spa resort up the highway

Where a couple goes instead of Lakeside for a spa weekend.



The winery with rooms, 20 minutes away

Competes for the same summer Saturdays.



The boutique inn in town

Cheaper, but the same kind of guest.



The chain hotel by the highway

Shows up in every report. Guests never choose between it and Lakeside.



The airport hotel, 40 minutes away

A different guest on a different trip. In the report by postcode, not by choice.

Revenue management the function



Dictionary

The job itself; at this ICP it may be the owner, a part-timer, or an outsourced firm.



Why the owner cares

Somebody has to decide when a rate moves, and at a 30-room property it is often nobody in particular. Any demand we send lands on prices somebody is, or isn't, watching. Listen for who has the final say, how often rates actually move, and whether the report anyone pays for gets read.



Contextual usage

Who handles revenue management for you right now — you, someone on the team, or an outside firm?

WHO'S DOING IT? THREE ANSWERS YOU'LL HEAR

1

The owner

Moves rates when there is a minute, usually after the weekend has already sold out.

2

Someone on the team

The GM, or a part-timer on Sunday nights. Ask who has the final say.

3

An outside firm

Emails a monthly PDF report. Ask whether anyone opens it.

Denial demand turned away



Dictionary

Demand that tried to book a date and could not because it was sold out.



Why the owner cares

Selling out early feels like safety. HiddenGem Brain reads it as underpricing, and counts every denial as the evidence for next season's rate.



Contextual usage

If you're turning people away on peak weekends, that denial is demand we can price for, not just celebrate.

SOLD OUT BY JUNE: TWO READINGS



What the owner sees

- Every August Saturday sold out by early June.
- Calls kept coming for summer weekends. Nothing left to give them.



What HiddenGem Brain sees

Demand that tried to book and could not: **denial**.

- Booked-out-far feels like safety; it is priced too low.
- Count the calls. That is next August's rate case.

Regret demand that walked



Dictionary

Demand that looked at a date and left without booking, usually on price or restriction.



Why the owner cares

Interest is not the problem; something at the moment of booking is: the rate, or a minimum stay. Denial and regret are a pair. One couldn't book, the other wouldn't.



Contextual usage

Lots of people are looking at those dates and leaving — that's regret, and it usually points to price or a minimum stay.

COULDN'T, VERSUS WOULDN'T



Denial: couldn't book

- Looked for a date. It was sold out.
- Demand turned away.



Regret: wouldn't book

- Looked at a date. Saw the price, or a two-night minimum.
- Left without booking. Demand that walked.
- 6,000 people looked at October; bookings flat.

Orphan night a stranded single night



Dictionary

A single night left stranded between two bookings, too short for most guests to want.



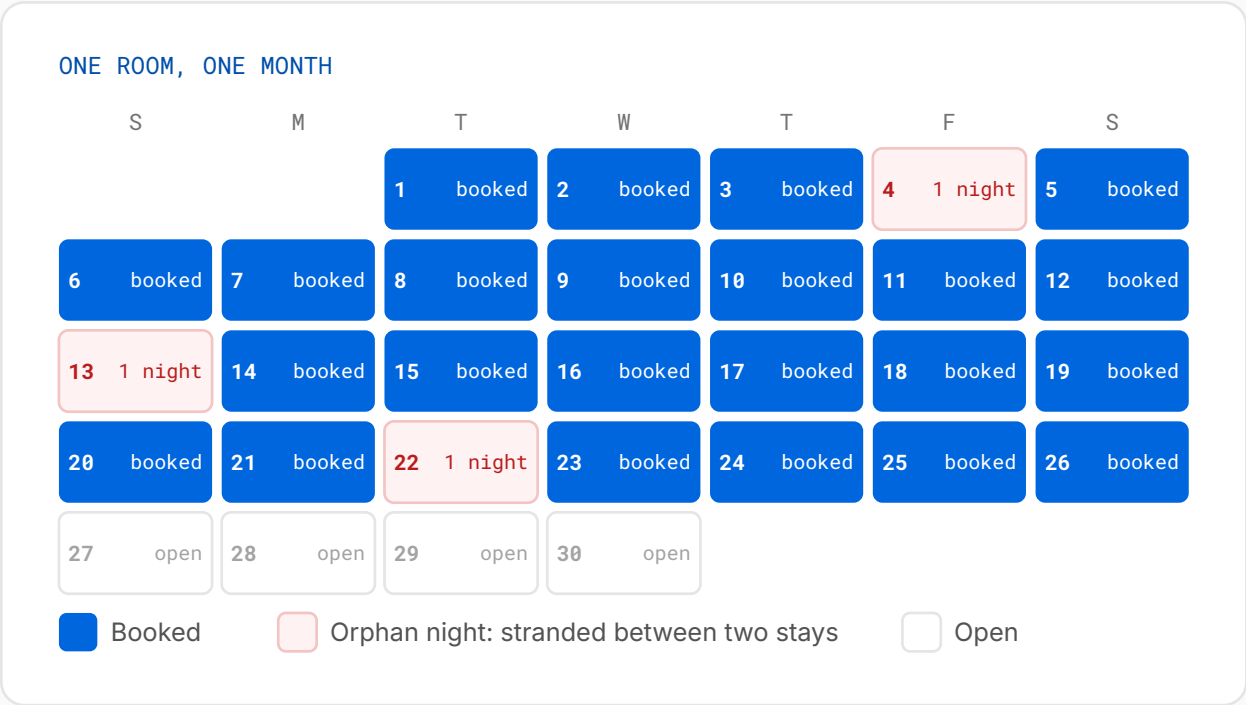
Why the owner cares

“94% booked” can hide a handful of single nights that will never sell on their own. At a property with a two-night minimum they cannot be sold at all. One idea, a HiddenGem Brain hypothesis and not a proven play: offer the guests either side an extra night.



Contextual usage

That single Tuesday between two bookings is an orphan night — a small offer could turn it into revenue.



Rate parity

the OTA contract's rule on your public rate



Dictionary

A contractual commitment not to undercut an OTA's rate — Expedia or Booking.com, say — on your own site.



Why the owner cares

The obvious way to push people direct, a cheaper public rate on your own site, may be the one thing their OTA contract forbids. HiddenGem Brain works inside it: the public rate stays level on every channel, and offers go to channels the property owns (email, SMS, DM). Nothing about the law: check what the contract says.



Contextual usage

Does your Booking.com contract include rate parity? That decides what we can offer on your own site.

PRIYA'S PLAN, STARTING MONDAY



Her own website

\$170 a night, public rate.

- \$30 under Expedia, to push people direct.
- If her contract has parity, this is the one thing it forbids.



Expedia listing

\$200 a night.

- Parity: the public rate stays level everywhere.
- Value-adds and fenced offers on owned channels instead.

Good news, or look closer?



Six owners, each pleased about something.



Thumbs up, take it: good news as it stands. Thumbs down, look closer: something here needs a question.



Some of them really are good news.

Take it, or look closer?

Busiest month on the website ever



Theo <theo@glamping-resort.example>
to: you

About 6,000 people looked at October dates on our site this month, a record. October bookings are flat, but the interest is clearly there.



EMAIL 1 OF 6

Cast your vote



Thumbs up: take it



Thumbs down
look closer

Vote first. Then the answer.

Take it, or look closer?

Busiest month on the website ever



Theo <theo@glamping-resort.example>
to: you

About 6,000 people looked at October dates on our site this month, a record. October bookings are flat, but the interest is clearly there.

WHY

Look closer. Six thousand people looked at October and left without booking: that is **regret**, demand that saw the price or a minimum stay and passed. Interest is not the problem; something at the moment of booking is.

Say this: "That's a lot of people seeing October and leaving. Let's look at what they saw: the rate, or a minimum stay?"



THE ANSWER

The answer



Thumbs up: take it



Thumbs down
look closer

Take it, or look closer?

Next week's basically full



Priya <priya@boutique-hotel.example>
to: you

We're 94% booked for next week. There are just a few single nights left, stuck between longer stays. Basically sold out.



EMAIL 2 OF 6

Cast your vote



Thumbs up: take it



Thumbs down
look closer

Vote first. Then the answer.

Take it, or look closer?

Next week's basically full



Priya <priya@boutique-hotel.example>
to: you

We're 94% booked for next week. There are just a few single nights left, stuck between longer stays. Basically sold out.

WHY

Look closer. Single nights stuck between longer stays are **orphan nights**: too short for most guests to want, and unsellable at all under a two-night minimum. "94% booked" hides them. One idea to try: offer the guests either side an extra night.

Say this: "Those single nights won't sell on their own. Want to offer the guests either side an extra night?"



THE ANSWER

The answer



Thumbs up: take it



Thumbs down
look closer

Take it, or look closer?

Best summer yet



Walt <walt@winery-stay.example>
to: you

Every Saturday in August sold out by early June. People kept calling for summer weekends and we had nothing to give them.



EMAIL 3 OF 6

Cast your vote

 **Thumbs up:** take it

 **Thumbs down**
look closer

Vote first. Then the answer.

Take it, or look closer?

Best summer yet



Walt <walt@winery-stay.example>
to: you

Every Saturday in August sold out by early June. People kept calling for summer weekends and we had nothing to give them.

WHY

Look closer. Selling out in June and turning callers away all summer is **denial**: demand that tried to book and could not. It feels like safety; HiddenGem Brain reads it as a rate set too low. Every call turned away is the case for next August's price.

Say this: "Congratulations. How many people tried to book those Saturdays after June? That's the case for next August's rate."



THE ANSWER

The answer



Thumbs up: take it



Thumbs down
look closer

Take it, or look closer?

re: rates??



Ines <ines@mountain-resort.example>
to: you

Honestly, rates are sort of everyone's job here. Our GM bumps them up when she gets a minute, usually after we've already sold out. I go through the calendar on Sunday nights if I'm not too wiped. And we pay a firm that emails a PDF report once a month; I keep meaning to open the last two.

Someone raised our Saturdays in June and I think someone else put them back down? Anyway, it all seems to work out, so I think we're covered.



EMAIL 4 OF 6

Cast your vote



Thumbs up: take it



Thumbs down
look closer

Vote first. Then the answer.

Take it, or look closer?

re: rates??



Ines <ines@mountain-resort.example>
to: you

Honestly, rates are sort of everyone's job here. Our GM bumps them up when she gets a minute, usually after we've already sold out. I go through the calendar on Sunday nights if I'm not too wiped. And we pay a firm that emails a PDF report once a month; I keep meaning to open the last two.

Someone raised our Saturdays in June and I think someone else put them back down? Anyway, it all seems to work out, so I think we're covered.

WHY

Look closer. Nobody is running **revenue management**: rates move late, by different people, and the paid report goes unread. Any demand we send lands on prices nobody is watching.

Say this: "Who has the final say on a rate change right now?"



THE ANSWER

The answer



Thumbs up: take it



Thumbs down
look closer

Take it, or look closer?

We finally picked our comp set

 **Marisol** <marisol@lakeside-lodge.example>
to: you

We've settled on the four lodges our guests actually compare us with, not the chain hotel by the highway that always shows up in the reports.



EMAIL 5 OF 6

Cast your vote



Thumbs up: take it



Thumbs down
look closer

Vote first. Then the answer.

Take it, or look closer?

We finally picked our comp set

 **Marisol** <marisol@lakeside-lodge.example>
to: you

We've settled on the four lodges our guests actually compare us with, not the chain hotel by the highway that always shows up in the reports.

WHY

Take it. A **comp set** is only useful if it is the places guests really choose between, and that is exactly what Marisol has done. If you voted look closer, notice the over-correction: the job is verification, not suspicion.

Say this: "That's the right four. Which of them do you lose guests to most?"



THE ANSWER

The answer



Thumbs up: take it



Thumbs down
look closer

Take it, or look closer?

Pushing people direct



Priya <priya@boutique-hotel.example>
to: you

To get more people booking direct, we've made our website \$30 a night cheaper than our Expedia listing. Starting Monday.



EMAIL 6 OF 6

Cast your vote



Thumbs up: take it



Thumbs down
look closer

Vote first. Then the answer.

Take it, or look closer?

Pushing people direct



Priya <priya@boutique-hotel.example>
to: you

To get more people booking direct, we've made our website \$30 a night cheaper than our Expedia listing. Starting Monday.

WHY

Look closer. Priya's goal is our goal, but a cheaper public rate on her own site may be the one thing her Expedia contract forbids: **rate parity**. Keep the public rate level and put the offer on channels she owns: email, SMS, DM. Nothing about the law; check the contract.

Say this: "Before we change the public rate, can we look at what your Expedia contract says about parity?"



THE ANSWER

The answer



Thumbs up: take it



Thumbs down
look closer

Block 3: when guests book

Five terms about time: how far ahead guests book, what “on track” means for a date that hasn't happened yet, and what a booking on the books is really worth.

01



Lead time

How far ahead of arrival guests book.

02



Booking curve

The shape bookings pile up in ahead of a date.

03



Pace

Ahead or behind, for a date that hasn't happened yet.

04



Effective OTB

On the books, minus the cancellations to expect.

05



Transient vs group

Individual guests versus contracted blocks.

Lead time

how far ahead guests book



Dictionary

How far ahead of arrival a booking is made; it differs sharply by date class and by segment.



Why the owner cares

The ads have to be running before the window when guests book, and that window is different for a ski weekend than for a summer week. When an owner asks “when should we start advertising?”, lead time is the answer.



Contextual usage

What's your usual lead time for summer? If guests book months out, spring is when we need to be in front of them.

LEAD TIME BY GUEST SEGMENT

Walk-in, same day	0 days
Last-minute leisure	1 to 3 days
Domestic business travel	3 to 7 days
Weekend getaways	7 to 14 days
Planned vacations	30 to 60 days
International tourists	45 to 90 days
Group and wedding bookings	60 to 180 days

Booking curve

the shape bookings arrive in



Dictionary

The shape reservations accumulate in ahead of a stay date, which differs by segment.



Why the owner cares

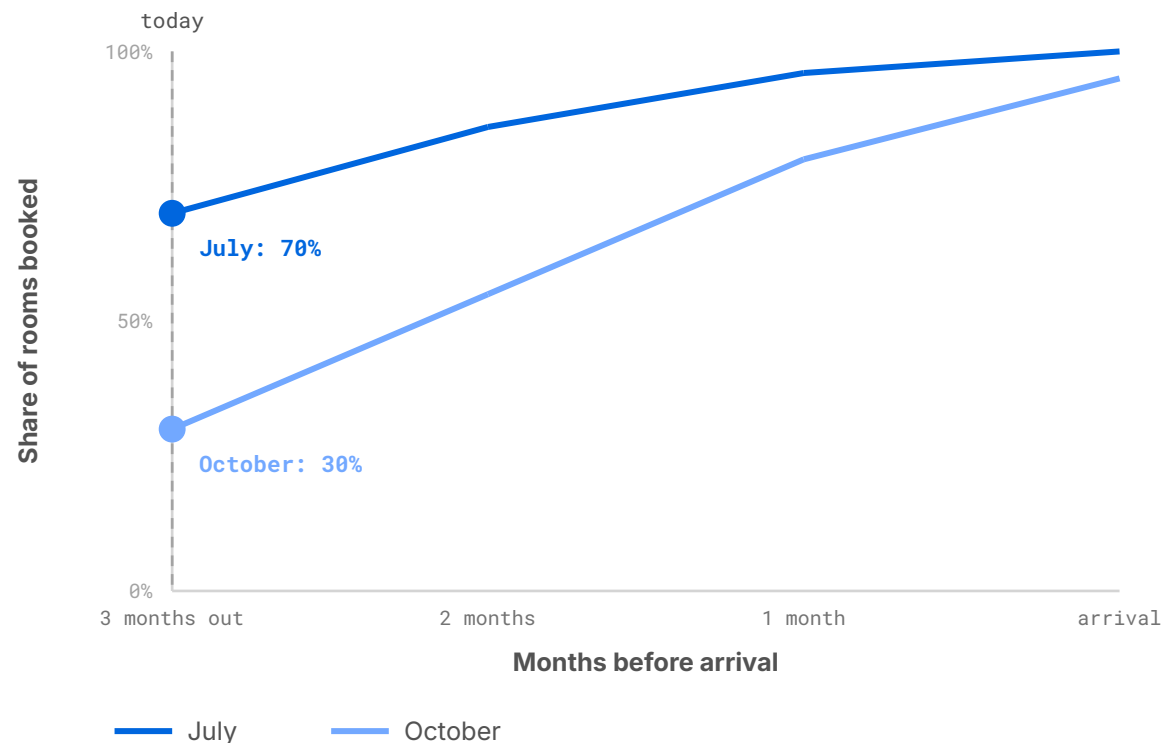
July and October fill on different curves. You cannot call a date soft until you have compared it with its own curve. HiddenGem Brain fits a separate target curve per property and date class, and manages to the curve rather than worshipping it.



Contextual usage

Your booking curve shows when each type of guest books, so we can time the ads to match.

TWO MONTHS, TWO CURVES



Pace

ahead or behind, for a date that hasn't happened



Dictionary

How fast bookings are arriving for a future date against last year or target.



Why the owner cares

It answers “are we ahead or behind” for a future date: the same date, compared at the same point last year, or against the curve.

Keep pickup separate: pickup is how many bookings came in last week; pace is how that compares with last year or target.

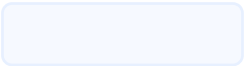


Contextual usage

How is October pacing against last year? That tells us whether to push now or hold.

OCTOBER: SAME DATE, SAME DISTANCE OUT

Last year, 90 days out



30%

This year, 90 days out



36%

Pace: October is 6% ahead of where it was at the same point last year. Pickup is the other read: how many bookings came in this week. Pace says whether you are ahead; pickup says whether you are still moving.

Effective OTB on the books, minus expected cancellations



Dictionary

On-the-books weighted for expected cancellation.



Why the owner cares

"October's basically there" and "most of it is refundable" can both be true. A calendar filled far out with refundable bookings is, in HiddenGem Brain's words, both cheap and fragile.



Contextual usage

Once we allow for likely cancellations, your effective OTB for October is a bit lower than it looks.



$$\text{OTB} \times (1 - \text{expected cancellation rate})$$

Theo's glamping resort has October **80%** on the books. All of it is refundable, and about **20%** of refundable bookings usually cancel. How much of October is really there?

$$\text{Expected to cancel} = 20\% \text{ of the } 80\% = 80\% \times 0.20 = 16\%$$

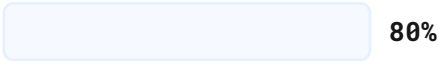
$$\text{Effective OTB} = 80\% - 16\%, \text{ or } 80\% \times (1 - 0.20)$$



Therefore, effective OTB = 64%

OCTOBER, BEFORE AND AFTER EXPECTED CANCELLATIONS

On the books (OTB)



80%

To cancel: 20% of 80%



- 16%

Effective OTB



64%

Transient vs group individual guests versus contracted blocks



Dictionary

Individual bookings versus contracted blocks — two different businesses inside one property.



Why the owner cares

A wedding planner wanting every suite at 15% off looks like a sure thing. The question is what the block pushes out: on a Saturday that sells out anyway it replaces full-rate individual guests; on a soft date it can be pure gain.



Contextual usage

Is most of your business transient or group? The two need very different marketing.

TWO BUSINESSES INSIDE ONE PROPERTY



Transient

- Individual guests booking on their own.
- Book one room at a time, at the public rate.
- Marketing finds them one by one.



Group

- A contracted block: a wedding, a retreat, a tour.
- Many rooms in one booking, usually at a negotiated rate.
- Ask what the block pushes out.

What's it really about?



Five things owners ask. Each is really about one term.



Some options are terms from today, some aren't.



Hold up the number, one to four.

Which term is this really about?

October check



Marisol <marisol@lakeside-lodge.example>
to: you

Are we ahead of or behind where we were this time last year for October?



EMAIL 1 OF 5

Cast your vote

- 1 Pace
- 2 Pickup
- 3 Lead time
- 4 Booking curve

Vote first. Then the answer.

Which term is this really about?

October check



Marisol <marisol@lakeside-lodge.example>
to: you

Are we ahead of or behind where we were this time last year for October?

WHY

Pace: the same future date, compared at the same point last year. Pickup is the trap: it is how many bookings came in last week, not how that compares with last year.

Say this: “Here's October against the same point last year, and against where we'd want it by now.”



THE ANSWER

The answer



Pace

2

Pickup

3

Lead time

4

Booking curve

Which term is this really about?

Ski weekends



Ines <ines@mountain-resort.example>
to: you

When should we start advertising our ski weekends? Our last agency always started two weeks out.



EMAIL 2 OF 5

Cast your vote

- 1 Feeder market
- 2 Lead time
- 3 Shoulder season
- 4 Effective OTB

Vote first. Then the answer.

Which term is this really about?

Ski weekends



Ines <ines@mountain-resort.example>
to: you

When should we start advertising our ski weekends? Our last agency always started two weeks out.

WHY

Lead time: “when should we start” is really “how far ahead do these guests book”. The ads have to be running before that window opens. Feeder market answers where, not when; shoulder season is a time of year, not a booking window.

Say this: “How far ahead do your ski-weekend guests usually book?”



THE ANSWER

The answer

1

Feeder market



Lead time

3

Shoulder season

4

Effective OTB

Which term is this really about?

Wedding enquiry



Walt <walt@winery-stay.example>
to: you

A wedding planner wants all 12 suites for the second Saturday in June, at 15% off. It sold out last year anyway, so this just locks it in. That's a sure thing, isn't it?



EMAIL 3 OF 5

Cast your vote

- 1 Package rate
- 2 Effective OTB
- 3 Transient vs group
- 4 Booking curve

Vote first. Then the answer.

Which term is this really about?

Wedding enquiry



Walt <walt@winery-stay.example>

to: you

A wedding planner wants all 12 suites for the second Saturday in June, at 15% off. It sold out last year anyway, so this just locks it in. That's a sure thing, isn't it?

WHY

Transient vs group: a contracted block of all 12 suites at 15% off, on a Saturday that sells out anyway, replaces full-rate individual guests. The question is what the block pushes out. Package rate is the trap: a discounted block is not a package.

Say this: "What does that Saturday usually sell for on its own?"



THE ANSWER

The answer

1

Package rate

2

Effective OTB



Transient vs group

4

Booking curve

Which term is this really about?

October's nearly there



Theo <theo@glamping-resort.example>
to: you

October is already 80% booked. Most of it is refundable, but still, we're basically there, right?



EMAIL 4 OF 5

Cast your vote

- 1 OTB (on the books)
- 2 Cancellation rate
- 3 Booking curve
- 4 Effective OTB

Vote first. Then the answer.

Which term is this really about?

October's nearly there



Theo <theo@glamping-resort.example>
to: you

October is already 80% booked. Most of it is refundable, but still, we're basically there, right?

WHY

Effective OTB: 80% on the books, weighted for the cancellations to expect. OTB is the 80% Theo is quoting and cancellation rate is the input; effective OTB is the answer to his actual question. If 20% of those refundable bookings cancel, October is really 64%.

Say this: "How much of that is refundable?"



THE ANSWER

The answer

1

OTB (on the books)

2

Cancellation rate

3

Booking curve



Effective OTB

Which term is this really about?

Should I worry about October?



Priya <priya@boutique-hotel.example>
to: you

Three months out, July was already 70% booked. October is three months out now and sitting at 30%. Is October in trouble?



EMAIL 5 OF 5

Cast your vote

- 1 Soft dates
- 2 Regret
- 3 Booking curve
- 4 Slow season

Vote first. Then the answer.

Which term is this really about?

Should I worry about October?



Priya <priya@boutique-hotel.example>
to: you

Three months out, July was already 70% booked. October is three months out now and sitting at 30%. Is October in trouble?

WHY

Booking curve: July and October fill on different curves, so 70% and 30% at three months out are two different shapes, not one problem. You cannot call October soft until you compare it with October's own curve. Slow season is her fear, not the diagnosis.

Say this: "Let's compare October with how October usually fills."



THE ANSWER

The answer

1 Soft dates

2 Regret

☒ Booking curve

4 Slow season

Three moves, none of them bluffing

1

Ask which they mean

"Remind me how you're counting that?" is a revenue manager's question, not a beginner's. Owners define their own words differently.

2

Open the dictionary

It is built for the call: the PDF now, and the terms page on the HGM portal. Link to follow.

3

Come back to it

"Let me look at that properly and come back to you" costs nothing. Guessing costs the credibility this session exists to protect.

What you have, and where it lives



The HGM Industry Acumen Dictionary

253 terms in nine sections. You have the PDF; it is the pre-reading. Every term has a plain definition, a formula where there is one, and a line you could say on a call.



The call cheat sheet

One page per session: today's 16 terms, session 2's 14. Each as what it is, why the owner cares, say this, ask this.



The HGM Client Tech Stack Guide

The tools an owner will name: PMS, channel manager, booking engine, pricing. Session 2's territory; skim it before then.



Where they live

All three on the HGM portal. Link to follow.



Pro tip

Bookmark the dictionary in your browser, so it is one click away when you are on a call.

Session 2: what's coming



Block 4: why direct pays

- 01 Metasearch
- 02 Cap rate
- 03 First-party data
- 04 Effective commission



Block 5: is it working?

- 01 CPM
- 02 UTM
- 03 CAPI
- 04 Incrementality
- 05 Cannibalization



Block 6: the stack

- 01 The tools map
- 02 Rate shopping
- 03 CRM
- 04 Guest messaging
- 05 Upsell

Where this goes from here

- 1 Don't know a term? Ask which they mean, then open the dictionary.**
- 2 This is phase one. Keep studying: familiarity is what builds confidence on the call.**
- 3 Ask one question from today on your next owner call.**

"This is proactive training: getting ready for our new ICP, and learning to speak the same language they do."